

ACADIA INSURANCE COMPANY
COMMERCIAL LINES MANUAL
DIVISION FIVE - COMMERCIAL PROPERTY - RULES
GEORGIA

RULE 8.
POLICY WRITING MINIMUM PREMIUM

- A. Policy minimum premium **\$1,000.**
- B. Policy minimum premium **\$1,000.**

RULE 9.
ADDITIONAL PREMIUM CHANGES

B. Waiver Of Premium

Waive additional premium of **\$15 or less.** This waiver applies only to that portion of the premium due on the effective date of the policy change.

RULE 10.
RETURN PREMIUM CHANGES

B. Waiver Of Premium

Waive return premium of **\$15 or less.** Grant any return premium due if requested by the insured.

This waiver only applies to the portion of the premium due on the effective date of the policy change.

RULE A#.
ELECTRONIC COMMERCE ENDORSEMENT

D. Loss Cost per \$100 of Coverage Limit

Deductible	\$500	\$1,000	\$2,500	\$5,000	\$10,000
Loss Cost	0.250	0.225	0.206	0.194	0.188

RULE 31.
PERSONAL PROPERTY

C. Rules

10. Valuable Papers and Records - Other Than Electronic Data

The \$2,500 per-premises limit provided in the Coverage Extensions may be increased.

- c. Use a loss cost of \$ 0.10 per \$ 100 over the \$ 2,500 limit provided.

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RULE 38.
BUILDING AND PERSONAL PROPERTY COVERAGE OPTIONS

W. Limited International Coverage - Property Endorsements

1. Business Personal Property - International Travel

c. Premium Determination

CP 04 32 - Use a loss cost of 0.25 per \$100 of coverage limit

Minimum Premium **\$500.00**

2. Property in Process of Manufacture by Others

c. Premium Determination

CP 04 33 - Use a loss cost of 0.50 per \$100 of coverage limit

Minimum Premium **\$1,000.00**

RULE 51.
BUSINESS INCOME COVERAGE OPTIONS

B. Business Income From Dependent Properties

6. Limited International Coverage

c. Premium Determination

CP 15 01 - Multiply the building rate of the main location by a factor of .30 to develop a rate per \$ 100 of coverage to be applied to the coverage limit.

RULE 53.
EXTRA EXPENSE COVERAGE OPTIONS

B. Extra Expense From Dependent Properties

5. Limited International Coverage

c. Premium Determination

CP 15 02 - Use a loss cost of \$ 0.25 per \$ 100 of coverage limit.

Minimum Premium **\$500.00**

LOSS COST MULTIPLIERS

The loss cost multiplier is: **1.100** Property
 2.000 Earthquake Coverage

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ADDITIONAL RULE(S)

COMMERCIAL PROPERTY EXTENSION ENDORSEMENTS

1. Description of Coverage

Commercial Property Coverage may be extended by attachment of one of the following endorsements listed in **2. Forms** below. These forms provide extensions of coverage at specified sublimits. The sublimits provided in each of the endorsements may not be increased.

The sublimits in the Extension may be superceded by other specific coverage specified elsewhere in the policy. Refer to the Other Changes section of the endorsement.

2. Forms

- a. **CL CP 00 01** PROPERTY EXTENSION ENDORSEMENT (A)
- b. **CL CP 00 02** PROPERTY EXTENSION ENDORSEMENT (B)
- c. **CL CP 00 03** PROPERTY EXTENSION ENDORSEMENT (C)
- d. **CL CP 00 11** PROPERTY EXTENSION ENDORSEMENT (D)

3. Eligibility

Use of the Extension endorsement requires Commercial Property Coverage to be written under the Special Cause of Loss Coverage Form.

4. Premium Determination

Compute the flat charge premium from the table below. The premium is in addition to any minimum premium and is not subject to any rate modification.

Enhancement Form	Initial Location	Each Additional Location
a. CL CP 00 01	\$150	\$25
b. CL CP 00 02	\$250	\$50
c. CL CP 00 03	\$500	\$75
d. CL CP 00 11	\$500	\$150

CHURCH GUARDIAN PROPERTY ENDORSEMENT

1. Description of Coverage

Commercial Property Coverage may be extended by attachment the endorsement listed in **2. Form** below. This enhancement provides extensions of coverage and sublimits. The sublimits provided in the endorsement may not be increased.

2. Form

CL CP 00 06

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CHURCH GUARDIAN PROPERTY ENDORSEMENT (cont'd)

3. Eligibility

Building Coverage must be written using either the Basic, Broad or Special Cause of Loss Form. This form may not be used in conjunction with the Commercial Property Enhancement Forms - A, B, C, D.

4. Premium Determination

Determine the flat charge premium from the table below. The premium is in addition to any minimum premiums and is not subject to any rate modification.

Each insured church	Premium	\$250
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RECREATIONAL VEHICLE PARK ADVANTAGE ENDORSEMENT

1. Description of Coverage

Commercial Property Coverage may be extended by attaching the endorsement listed in **2. Form** below. This enhancement provides extensions of coverage and sublimits. The sublimits provided in each of the endorsements may not be increased.

2. Form

Use form **CL CP 00 05**

3. Eligibility

Recreational park and campground operators insured under the Building and Personal Property Coverage Form, which meet the company underwriting guidelines. This form may not be used in conjunction with the Commercial Property Enhancement Forms - A, B, C, D.

4. Premium Determination

Each insured RV park/campground	Premium	\$100
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FOOD CONTAMINATION BUSINESS INCOME COVERAGE

1. Description of Coverage

Business Income Coverage may be extended to cover the suspension of operations due to the order of a governmental order involving actual or alleged outbreak of communicable disease or food contamination.

2. Form: Use form **CL CP 01 01**

3. Eligibility

Restaurant and hospitality accounts which are written with the Business Income and Extra Expense Coverage Form and meet the company's underwriting guidelines.

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FOOD CONTAMINATION BUSINESS INCOME COVERAGE (cont'd)

4. Premium Determination

1. Determine the premium for Business Income & Extra Expense Coverage after application of all rating factors, discounts, credits, debits, etc.
2. Multiply the premium from 1. above times **1.15**.

EQUIPMENT BREAKDOWN COVERAGE ENDORSEMENT

1. Description of Coverage

The coverage provided under this coverage form is for over 1,000 types of equipment including, air conditioning units, telephone systems, refrigeration units, motors, pumps, compressors, data processing equipment, business and communications equipment, electrical equipment, boilers, and much more. Coverage is provided for losses due to mechanical breakdown, steam explosion and electrical arcing, including equipment failure due to pressure, mechanical or electrical breakdown.

2. Form

- a. Use Equipment Breakdown Coverage Endorsement **CL CP 00 04** for risks that fall within eligibility guidelines below.
- b. For risks that are "refer to company" per eligibility guidelines below use **CL CP 00 12** Equipment Breakdown Deductible and Limits Exceptions Schedule in addition to **CL CP 00 04**.

3. Eligibility

The following values must be referred to company due to additional rate consideration:

1. Spoilage and/or Ammonia Contamination Product Values which exceed \$100,000 at any one location.
2. Any Account which generates their own electrical power.
3. Any location containing MRI, Cat Scans, or Diagnostic Equipment exceeding \$100,000 in value.
4. When the total values at any one location exceed \$25,000,000 on Office Buildings, Apartments and Condominiums; \$15,000,000 for all others.
5. All Manufacturing/Processing (including Printing) locations in which the Building/Content and Business Income Values exceed \$5,000,000.
6. Any account, which has had 2 or more Equipment losses paid in the past 3 years.
7. The following occupancies must be referred to company due to additional rate consideration:

- | | |
|-------------------------------|-------------------------------------|
| 1. Mining (all types) | 8. Aluminum |
| 2. Hydros | 9. Wire Drawing |
| 3. Sawmills/Pulp Paper/Veneer | 10. Glass Manufacturing |
| 4. Forestry Operations | 11. Roofing and Floor Manufacturing |
| 5. Chemical Manufacturing | 12. Pharmaceuticals |
| 6. Rubber Manufacturing | 13. Electrical Substations |
| 7. Recycling/Waste Operations | 14. Casinos |

4. Premium Determination

- a. **Charge 10.2% of the final Commercial Property premium, excluding Earthquake**, for risks that fall within the above eligibility guidelines - **CL CP 00 04** only.
- b. For risks that are "refer to company" in the eligibility section - refer to Division Two - Boiler & Machinery Premium Determination.

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VALUE LIMITATION - ACTUAL CASH VALUE FOR ROOFS

1. Description of Coverage

This form revises the valuation of roofs damaged by windstorm/hail, rain, snow or ice from an replacement cost to an actual cash value basis.

2. Form: Use form **CL CP 01 02**

3. Eligibility

Any risk written on a Commercial Property Coverage Form with building coverage provided may be eligible.

4. Premium Determination

1. Determine the Group II Building premium, after application of all rating factors, discounts, debits, etc. (If coverage is written on a combined Blanket Building and Personal Property basis, determine the percentage of building coverage to building and personal property coverage; and apply that percentage to the premium as noted above.)
2. **Multiply the premium from 1 by 0.95.**

JANITORIAL SERVICES

A. Janitorial Services - Property Enhancement (CL CP 00 08)

1. This form may be attached to the Commercial Property Coverage Part for a janitorial risk if either **Property Extension Endorsement, CL CP 00 02 or CL CP 00 11** is attached.
2. This form enhances various property damages for a janitorial risk.
3. There is a \$100 flat charge for this endorsement.

B. Janitorial Equipment, Tools and Supplies (CL CP 00 09)

1. This form may be attached to the Commercial Property Coverage Part for a janitorial risk if the **Janitorial Services - Property Enhancement CL CP 00 08** is attached.
2. This form provides up to \$10,000 for Equipment and up to \$1,000 for Tools and Supplies.
3. A \$250 deductible is applicable.
4. There is a \$100 flat charge for this endorsement.

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MOLD EXCLUSION (FUNGUS, WET OR DRY ROT, BACTERIA OR OTHER MICROBE EXCLUSION)

1. Description of Coverage

Fungus means any form of fungus, or fungi, including mold, mildew, mushroom, toadstool, smut, or rust (a plant fungus) and any mycotoxins, spores, scents, vapors, gases, substances, or by-products produced or released by fungus or fungi.

2. Form

Use form **CL CP 99 04**.

3. Rate Modification

Multiply the 80% or higher coinsurance direct. Property Damage loss cost for Building and/or Personal Property by the appropriate modification factor shown below. These factors reflect that current loss costs do not contemplate the present level of mold losses or the ever-increasing and potentially catastrophic losses due to mold and other forms of fungi.

- a. 1.00 factor to the Basic Group I Causes of Loss.
- b. 0.98 factor to the Basic Group II Causes of Loss.
- c. 0.98 factor to the Broad Causes of Loss.
- d. Special Causes of Loss:
 - (1) Building (Including or Excluding Theft) - 0.98 factor
 - (2) Contents: Excluding Theft Rate - 0.98 factor; Including Theft Rate - 1.00 factor

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3. Rating Modification

Individual Risk Premium Modification Plan - Company Exception

The company rates for the risk may be modified in accordance with the following rating table to recognize such special characteristics of the risk as are not fully reflected in the basic company premium or company rates. The total credits or debits under the following table shall not exceed -25% to +25%

Individual Risk Premium Modification does NOT apply to Earthquake coverages.

Risk Characteristics	Description	Credit		Debit
Management	Cooperation in matters of safeguarding and proper handling of the property covered.	15%	to	15%
Location	Accessibility, congestion and exposures.	5%	to	5%
Building Features	Age, condition and unusual structural features.	10%	to	10%
Premises And Equipment	Care, condition and type.	5%	to	5%
Employees	Selection, training, supervision and experience.	3%	to	3%
Protection	Not otherwise recognized.	2%	to	2%
Financial Stability	Financial strength and resources	5%	to	5%
Persistency	Reduction in costs associated with renewal retention	5%	to	5%
Loss Experience	Losses and loss adjustment expenses less than anticipated and not reflected in the current rating	5%	to	5%

The modifications contemplate the standard allowance for expenses. If the expenses are less than standard, an additional credit applies from the following table that reduces the rate level by the amount of reduction in expenses:

Expense Reduction	Credit Factor	Expense Reduction	Credit Factor	Expense Reduction	Credit Factor
0.5%	0.992	3.5%	0.949	6.5%	0.909
1.0%	0.985	4.0%	0.942	7.0%	0.903
1.5%	0.977	4.5%	0.935	7.5%	0.897
2.0%	0.970	5.0%	0.929		
2.5%	0.963	5.5%	0.922		
3.0%	0.956	6.0%	0.915		